Oxford Cambridge and RSA

Practice Paper – AS Level in Economics

H060/02 Macroeconomics (Advanced Level)

Time allowed: 1 hour 30 minutes

You can use:
• a scientific or graphical calculator

Centre number	
Candidate number	
First name(s)	
Last name	

INSTRUCTIONS

- Use black ink. You can use an HB pencil, but only for graphs and diagrams.
- Write your answer to each question in the space provided.
- Answer all the questions in Section A and Section B and one question in Section C.

INFORMATION

- The total mark for this paper is 60.
- The marks for each question are shown in brackets [ ].
- Quality of extended response will be assessed in questions marked with an asterisk (*).
- This document is a practice paper at Advanced level, based on the OCR H060/02 specification.

ADVICE

- Read each question carefully before you start your answer.

SECTION A

Answer all the questions in this section.

Each question is worth 1 mark.

1. Frictional unemployment occurs when:

A the economy is in recession
B workers are between jobs while searching for new employment
C workers lack the skills required for available jobs
D wages are above the market clearing level

Your answer [ ] [1]

2. Which of the following best describes a regressive tax?

A The marginal tax rate is the same as the average tax rate
B Tax paid as a proportion of income decreases as income rises
C Tax paid as a proportion of income increases as income rises
D The tax is collected directly from a person's income

Your answer [ ] [1]

3. Quantitative easing is most likely to:

A decrease the money supply
B increase long-term interest rates
C lead to an appreciation of the domestic currency
D increase the price of government bonds

Your answer [ ] [1]

4. A balance of trade deficit occurs when:

A the value of imported goods and services exceeds the value of exports
B government spending exceeds government tax revenue
C the financial account is in deficit
D the country borrows from abroad

Your answer [ ] [1]

5. Hyperinflation is generally defined as:

A any rate of inflation above the central bank's target
B an inflation rate of more than 10% per year
C an extremely high rate of inflation, typically over 50% per month
D a rising rate of inflation

Your answer [ ] [1]

6. In a country, the first £12 500 of annual income is tax-free, the next £37 500 is taxed at 20%, and any income above £50 000 is taxed at 40%.

What is the average rate of income tax paid by a worker earning £60 000?

A 12.5%
B 19.2%
C 20.0%
D 26.7%

Your answer [ ] [1]

7. The table shows nominal GDP and the GDP deflator for a country.

Year 1: Nominal GDP $200 bn, deflator 100

Year 2: Nominal GDP $231 bn, deflator 105

What is the percentage change in real GDP between the two years?

A 5.0%
B 10.0%
C 15.0%
D 15.5%

Your answer [ ] [1]

8. Which is most likely to cause an appreciation of a country's currency?

A A rise in domestic interest rates relative to other countries
B A rise in the rate of domestic inflation relative to trading partners
C An increase in the country's current account deficit
D An increase in imports

Your answer [ ] [1]

9. A UK exporter sells goods to the US for $25 000 and pays UK suppliers £14 000 in costs. The exchange rate is £1 = $1.25. What is the profit on this transaction?

A £3 000
B £6 000
C £11 000
D £14 500

Your answer [ ] [1]

10. Which of the following is an example of an indirect tax?

A Corporation tax
B Income tax
C Value Added Tax (VAT)
D National Insurance contributions

Your answer [ ] [1]

11. Which of the following will shift aggregate supply to the right?

A An increase in the national minimum wage
B An increase in indirect taxes
C An increase in the working-age population
D An increase in oil prices

Your answer [ ] [1]

12. 'Open market operations' by a central bank refers to:

A the buying and selling of government bonds to influence the money supply
B raising or lowering the bank rate
C buying and selling foreign currency reserves
D imposing reserve requirements on commercial banks

Your answer [ ] [1]

13. Which of the following is a demand-side policy?

A Reducing the rate of corporation tax to encourage investment
B Increasing government spending to boost aggregate demand
C Improving training and skills of the labour force
D Deregulating product markets

Your answer [ ] [1]

14. The CPI for a country was 110.0 in Year 1, 113.3 in Year 2 and 117.0 in Year 3.

What was the rate of inflation in Year 3?

A 3.0%
B 3.3%
C 3.7%
D 6.4%

Your answer [ ] [1]

15. If the marginal propensity to consume (MPC) is 0.75 and government spending increases by £40 billion, by how much will national income rise (assuming no other withdrawals)?

A £30 billion
B £40 billion
C £120 billion
D £160 billion

Your answer [ ] [1]

SECTION B

Answer all the questions in this section.

South Africa's Economic Challenges

South Africa, the most developed economy in sub-Saharan Africa, has faced significant economic challenges since the global financial crisis. Real GDP growth has averaged less than 1% per year over the past decade. In 2020, the economy contracted by 6.4% due to the global pandemic and ongoing structural problems.

Unemployment has been a persistent issue. The official unemployment rate reached 34.5% in 2022, with youth unemployment exceeding 60%. The country has one of the highest levels of income inequality in the world, with a Gini coefficient of 0.63.

Foreign Direct Investment (FDI) inflows have been volatile. In 2019, FDI reached $4.6 billion, but fell to $3.1 billion in 2020. Major investors include China, the UK and Germany.

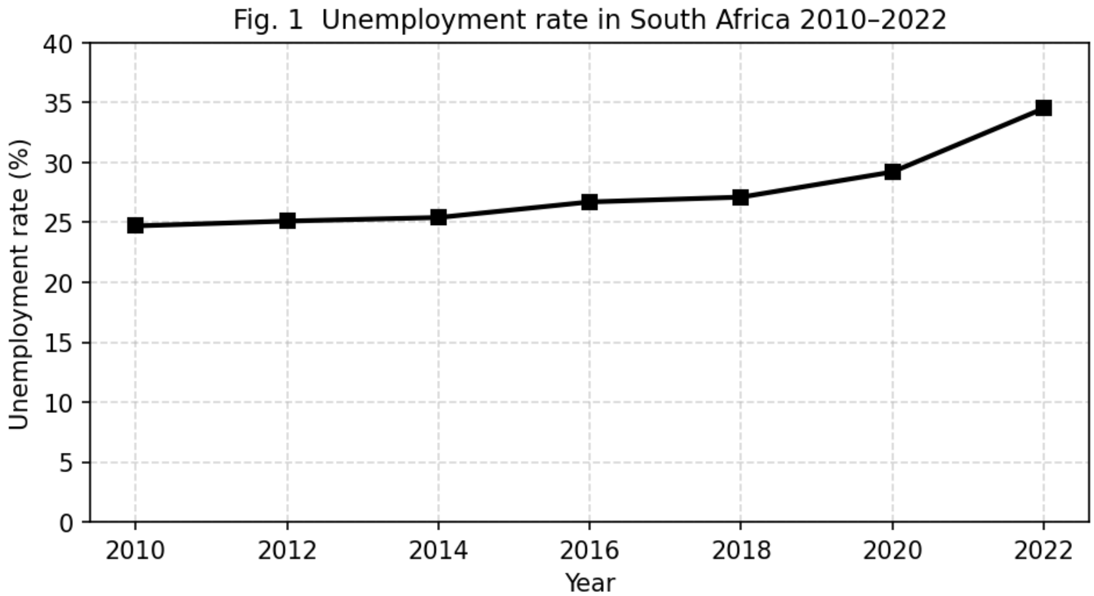
The South African Reserve Bank (SARB) has an inflation target of 3–6%. Inflation reached 7.4% in 2022, driven mainly by rising food and fuel prices. The SARB raised interest rates from 3.5% to 8.25% between 2021 and 2023 in an attempt to bring inflation back within target.

The South African rand has been highly volatile. In 2010, US$1 cost about R7.3; by 2023 it cost around R18.5. This depreciation has helped exporters of minerals — particularly gold and platinum — but has increased the cost of imported fuel, machinery and food.

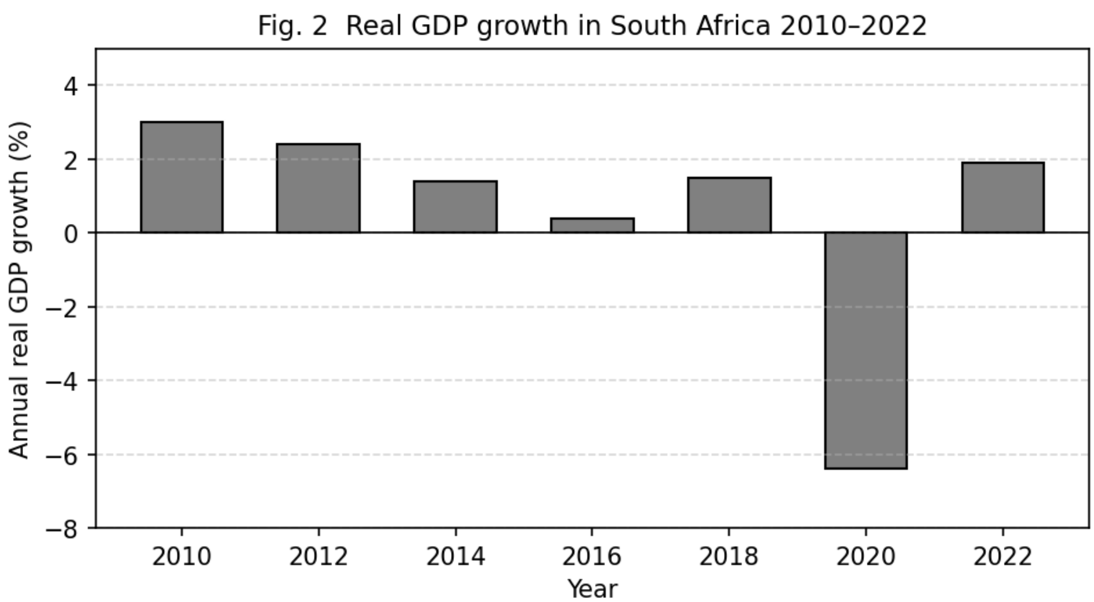
Power supply problems, known as 'load shedding,' have become a major drag on economic activity. Estimates suggest that scheduled blackouts cost the economy 2–3% of GDP per year. The state electricity provider, Eskom, is heavily indebted with debts exceeding R400 billion, and the government has had to provide regular bailouts.

The current account moved from a deficit of 3% of GDP in 2019 to a surplus of 3.7% in 2021, partly due to higher global commodity prices. However, by 2023 it had returned to a deficit of around 2% of GDP. The government's budget deficit reached 5% of GDP in 2023, with public debt approaching 75% of GDP.

Source: Adapted from Statistics South Africa, IMF and World Bank



Source: Statistics South Africa



Source: World Bank

Answer all parts of Question 16.

16 (a) (i)

Using Fig. 1, explain the change in the unemployment rate in South Africa from 2010 to 2022.

[2]

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16 (a) (ii)

Inflation reached 7.4% in 2022 (lines 11–13). State why this means the SARB has missed its inflation target.

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16 (b)

Using Fig. 2, explain what happened to real GDP growth in South Africa between 2018 and 2020.

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16 (c)

The case study refers to load shedding and high levels of public debt.
Using a diagram, explain what impact these factors may have on economic growth in South Africa.

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16 (d)

Using information from the case study, explain possible reasons why the South African rand has depreciated against the US dollar.

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16 (e)

Explain the difference between a budget deficit and a current account deficit.

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16 (f)*

Evaluate the advantages of raising interest rates as a means of controlling inflation in an economy such as South Africa.

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SECTION C

Answer Question 17 or Question 18.

17*

The South African Reserve Bank (SARB) raised the bank rate from 3.5% to 8.25% between 2021 and 2023 in order to control inflation.

Evaluate, using an appropriate diagram(s), the effects of this contractionary monetary policy on the South African government's ability to achieve its macroeconomic objectives.

[20]

OR

18*

South Africa's official unemployment rate reached 34.5% in 2022, with youth unemployment exceeding 60%.

Evaluate, using an appropriate diagram(s), whether persistently high unemployment should be the main macroeconomic concern for any government.

[20]

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END OF QUESTION PAPER